



FIRST SEMESTER: 2026-27
Course Handout Part II

Date: 03.08.2026

In addition to part I (General Handout for all courses appended to the Timetable), this portion gives further specific details regarding the course.

Course Number : ECON F214
Course Title : ECONOMIC ENVIRONMENT OF BUSINESS
Instructor-in-Charge : PROF. SURUCHI SHRIMALI
Tutorial/Practical Instructor : Prof. Suruchi Shrimali

1. Course Description:

Businesses are the driving force behind a nation's economic activity since they enable its population to attain a higher quality of living. It is essential to understand that a business firm does not operate in a vacuum but in a given environment and must interact and transact its business within this environment. Business environment refers to the totality of all individuals, institutions, and other forces external to a business unit but potentially affecting its performance. Business enterprises are micro units within an economic environment that represents the macro. The economic environment is the “given” within which firms and their managements must operate. So, the business environment and the manner and effectiveness of the interaction of an enterprise with its environment would generally determine its success or failure.

2. Scope and Objective of the Course:

The course aims to (1) Create familiarity with economic environment concepts and indicators, economic policies, and economic regulation (2) Develop the ability to analyze and anticipate changes in the economic environment and, (3) Enable students to take more effective business decisions by being responsive to the changing external economic environment. The objective of this course is to unravel all those economic factors that are external to and beyond the control of individual business enterprises and their management, with a focus on the Indian context.

3. Learning Outcome of the Course:

This course will educate students on the interdependencies and linkages between business and its environment, focusing on the Indian context. Moreover, it will improve comprehension of various external economic factors affecting the business environment. For instance, the business climate in India is influenced by variables such as GDP, inflation, fiscal policy, monetary policy, industrial policy, etc., which have both direct and indirect effects. Furthermore, it will thoroughly comprehend many economic elements in the business environment more pragmatically.

4. Textbooks and Reference Books

4.1 Text Books (TB):

TB1. Pailwar, Veena Keshav., “Business Environment”, PHI Learning Private Limited (2014).



4.2 Reference Books (RB):

- R1. Shaikh, Saleem., “Business Environment”, Pearson Publishers (India), 4th Edition (2020).
 R2. Paul, Justin., “Business Environment: Text and Cases”, Tata McGraw Hill, New Delhi, 3rd Edition (2010).
 R3. Fernando, A.C., “Business Environment”, Pearson Publishers (India) (2011).

4.3 Reference articles (will be shared separately)

5. Method of Conduct of the Course

The course will be conducted using a blended, student-centered, and outcome-based approach, incorporating regular lectures (three per week to study core concepts through usage of blackboard & multimedia tools such as PowerPoint slides, video clippings), tutorial classes (one per week for problem solving and explaining numerical exercises through blackboard/slides/statistical software), and interactive discussions during lectures (to encourage discussion on real-life cases and to promote critical thinking). The students’ progress throughout the course will be evaluated through a continuous assessment approach as per the institute’s academic regulations. The grading will be relative and as per the BITS academic regulations. The course will use NALANDA, a learning management system (LMS), to display the information related to the course, including lecture slides/notes, tutorial sheets, solution material, and other related information. All notices will also be published on NALANDA.

6. Course Plan:

Module No.	Lecture Session (Topics)	Reference	Learning outcomes
1. Understanding of the concept of Economic Environment of Business <i>(Lectures-1-2)</i>	L.1.1. Course introduction; Understanding the concept of Business Environment and its components, Constituents of Macro and Micro business environment; Environmental scanning L.1.2. Understanding the economic system and economic structure; Ease of Doing Business analysis	TB-Ch. 1, RB1. Ch.1 & Lecture notes	Introducing the concept of the Economic Environment of Business
2. Analysis and measurement of National Income, & computation of growth rates and their implications for the Business Environment <i>(Lectures-3-8)</i>	L.2.1. Concept of Level Value and Various Types of Growth Rates for the evaluation of business performance L.2.2. Practical analysis of Growth rate computation from real economic datasets from MOSPI L.2.3. Understanding National income; Economic system and generation of output and income L.2.4. Measurement of GDP in India; Analyzing the Output, income, and expenditure Approach of measuring GDP L.2.5. Different concepts of national income and their equivalence.	Lecture Notes TB-Ch.5, RB1. Ch. 7 and & Lecture notes, Articles	Calculation of various growth rates and their implications for the Business Environment National Income: Measurement and Business Environment



Module No.	Lecture Session (Topics)	Reference	Learning outcomes
	L.2.6. Debates and issues on the national income measurement: does India have consumption or investment-led growth? Implications of National Income on Business Environment		
3. Business cycle and their implications for the Business Environment (Lectures-9-11)	L.3.1. Concept of Business Cycle; Factors Leading to Business Fluctuations and Cycles L.3.2. Theories on Business Cycle Analysis, Identification of the business cycle using economic indicators L.3.3. Insinuations of the business cycle on Business Managers	TB-Ch. 4 & Lecture notes, Articles	Business Cycle Fluctuations and Business Environment
4. Economic Structure, LPG Policy and its Implications for the Business Environment (Lectures-12-14)	L.4.1. Economic Structure: Its Determinants, Constituents, and Structural Shifts in India L.4.2. Structural transformation and economic growth, Analyzing the economic structure and its implications for Business Managers L.4.3. India after Three Decades of Economic Reform	RB-Ch. 3 & Lecture notes, Articles	Economic Structure and Stages of Development
5. Concept and Measurement of Inflation in India (Lectures-15-19)	L.5.1. Measurement of Inflation; Measures, Causes, Types L.5.2. Inflation and index number analysis L.5.3. Issues in the computation of inflation in India L.5.4. Effect and control of inflation; Debates on the measurement of inflation in India L.5.5. Implication of Inflation on the Business Environment	TB-Ch.7, RB1. Ch. 10 & Lecture notes, Articles	Inflation and Business Environment & Lecture notes
6. Analysis & Implications of the Fiscal Policy, Monetary Policy for the Business Environment (Lectures-20-27)	L.6.1. Objectives of fiscal policy; India's Fiscal Policy and its various techniques and instruments L.6.2. Understanding the concept of budget; Measurement of Government deficit L.6.3. Institutional reforms for fiscal consolidation; fiscal policy implication on the business environment	TB-Ch.8, 10, RB1. Ch. 4 & Lecture notes, Articles	India's Fiscal Policy and its Implications on Business Environment
	L.6.5. Objectives of Monetary Policy: Measures of the Money Stock in India L.6.6. Instruments of monetary policy; Monetary policy-making process and dissemination in India L.6.7. Changing the structure and evolving monetary transmission mechanism in India L.6.8. Monetary policy transmission mechanism; CBDC and Monetary Policy	TB-Ch.8, 10, RB1. Ch. 4 & Lecture notes, Articles	India's Monetary Policy and Business Environment



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Pilani Campus
AUGS/ AGSR Division

Module No.	Lecture Session (Topics)	Reference	Learning outcomes
	L.6.9. Unconventional Monetary Policy in India		
7. Industrial Policy and the Business Environment <i>(Lectures-28-31)</i>	L.7.1. Industrial Policy and its Performance in India's Pre and Post-Liberalization Period. L.7.2. Industry: Classification and identification of Industry, Factors Affecting Location of Industries; Industrial Structure, Policy, and Business Environment L.7.3. Economic Liberalization and Policy Changes and Industrial Sector Performance L.7.4. Industry 4.: Turning fragments into a lens: Technological change, industrial revolutions, and labor	TB-Ch. 11 & notes, RB1. Ch. 2, 3, 8 & Lecture notes, Articles	Industrial Structure, Policy, and Business Environment
8. Financial sector performance in India <i>(Lectures-32-35)</i>	L.8.1. Functions of the financial system, Constituent of the financial system L.8.2. Does the stock market promote economic growth in India? L.8.3. Weakness in the financial system in India L.8.4. The subprime mortgage crisis and global recession. Impact of financial sector reform in India	TB. Ch.9 & Lecture notes, Articles	Financial Sector Reform and Policies and Business Environment
9. Foreign trade policy, BOP, and exchange rate determination and its implications on the business environment <i>(Lectures-36-41)</i>	L.9.1. Why trade is important? Analyzing volume, composition, and direction of trade. Terms of trade L.9.2. Meaning of BOP-Accounting of foreign transactions; Constituents of Balance of Payment Statement L.9.3. Implications of Current Account Deficit on Trade L.9.4. The Role of India's Foreign Trade Policy	TB-Ch. 12, RB1. Ch. 9, Articles	Foreign Trade Policy and Balance of Payments (BOP)
	L.9.5. Foreign Exchange market and exchange rate market; Do movements in exchange rates affect the Indian Economy L.9.6. Bretton Woods system and exchange rate analysis; Currency convertibility; Implications of exchange rate analysis for Business Managers	TB. Ch.15 & Lecture notes, Articles	Exchange rate regimes and Currency Convertibility



7. Evaluation Scheme:

Component	Duration	Weightage 100% (200 Marks)	Date	Nature of component (Closed Book/Open Book)
Quiz-1	30 Min	10 (20 Marks)	21 st August, 2026	CB
Quiz-2	30 Min	10 (20 Marks)	18 th September, 2026	CB
Mid-Semester Examination	90 Min	30 (60 Marks)	See the timetable	CB
Quiz-3	30 Min	10 (20 Marks)	6 th November, 2026	CB
Comprehensive Examination	180 Min	50 (100 Marks)	See the timetable	CB/OB
<i>(#Best of two quizzes out of three would be considered for final evaluation. All quizzes will be announced.)</i>				

8. Criterion for NC: :

30% of the average of the top three performers or 40% of the median, whichever is lower, or a suitable modification at the discretion of the IC with the concurrence of the Department.

9. Attendance Policy:

Each student is expected to attend all classes and participate in all evaluation components.
[There is no weightage for assessment to attend all classes and participate.]

10. Makeup Policy:

Makeup for the Mid-Sem and Comprehensive examinations shall be granted only in genuine cases (such as hospitalisation) after a thorough examination of the application. The conduct of make-up is to be decided by the instructor-In-Charge/instructors only. No make-up shall be granted for the quizzes; out of the three tutorial quizzes, the best 2 will be considered for the final evaluation.

11. Consultation Hour:

Students can approach the Instructor In-Charge any time via email (suruchi.shrimali@pilani.bits-pilani.ac.in). Their queries will be answered through email/online meetings/offline/phone calls as per the level of the query. Consultation hours: Wednesday, 04.00 PM-5.00 PM (Chamber no-6165K)

12. Notices:

Students must regularly check their BITS e-mail account/Nalanda for course-related announcements/notices. All the information will also be communicated during the class. Notices, if any, will be displayed on the Economics and Finance Group Notice Board.



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13. Note

- Evaluative components will be conducted during scheduled hours as specified. Changes, if any, will be communicated well in advance. Please note your ID number and name before requesting anything related to the course. Students must write correct ID numbers in all the evaluative components, failing which their answer sheets will not be evaluated.
- Open Book (OB) includes lecture notes, textbook or any other material allowed by IC.

Dr. Suruchi Shrimali
Instructor-in-charge
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